

Figure 5.5 demonstrates that no matter which price ratio we choose to examine, over the 33-year period under consideration, the quintile containing the stocks with the lowest ratio of price to a fundamental measure (the value quintile, on the far right of the chart) outperformed the quintile containing the stocks with the highest ratio of price to a fundamental measure (the glamour quintile, on the far left of the chart). The quintiles also perform in rank order: the value quintile outperforms the next cheapest quintile (quintile 2), and so on until we reach the glamour quintile, which underperforms. We found similar evidence when we further divided the universe of stocks remaining into large capitalization (the largest third) and small capitalization (the smallest two thirds). Figure 5.6 shows the average annualized five-year returns for stocks ranked by price-to-book value and divided into small and large capitalization portfolios.

Figure 5.6 demonstrates that the value quintile’s outperformance over the glamour quintile is not only a small capitalization phenomenon. The large capitalization value stocks also outperform large capitalization glamour stocks. The extent to which the value quintile outperforms the glamour quintile is known as the *value premium*. Table 5.1 shows the returns and other performance statistics, including the value premium, for stocks of all market capitalizations greater than the 50 percent cut-off, and for the two subsets, small capitalization and large capitalization.

There is a lot of information in Table 5.1, so let’s examine what it means. The table shows that the glamour quintile (in column 1) earns the

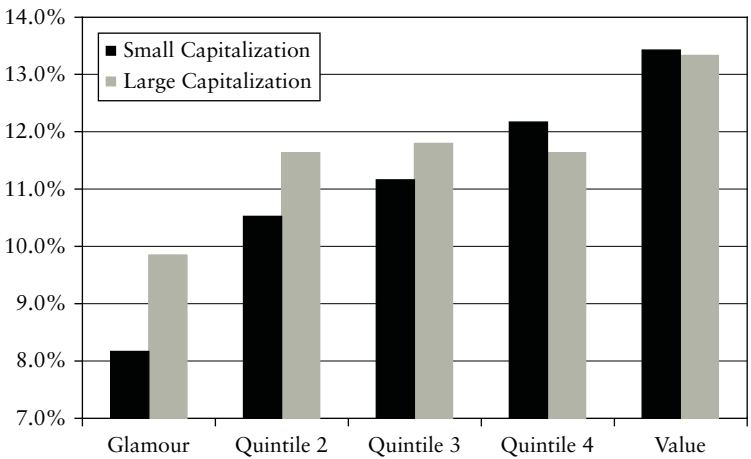


FIGURE 5.6 Global Markets Annualized Average Five-Year Returns for Price-to-Book Value Quintiles (1980 to 2013)
Source: Eyquem Investment Management LLC.